

EG Daily Brief: US will limit Canada's China reset

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Daily Brief: US will limit Canada's China reset

Canada-China ties | NATO summit | Chinese defense exports | China's missile test | Venezuela reconstruction | Upcoming conference calls | EG in depth

summary

- * Canadian Prime Minister Mark Carney will calibrate his push to deepen commercial ties with China against US red lines.
- * The NATO summit produced a flurry of defense announcements, but several were repackaged deals rather than new commitments.
- * China is poised to continue expanding defense exports to the Gulf Cooperation Council, Southeast Asia, and parts of Africa as Western reliability erodes.
- * China's ballistic missile test in the South Pacific was likely a long-planned deterrent signal.
- * Regions, countries, and sectors covered in this edition include the US, Brazil, Canada, China, Venezuela, global macro, and aerospace & defense.

the top line

Canada, China, the US—Washington will constrain Ottawa's reset with Beijing

- * Carney will calibrate his push to deepen commercial ties with China against US red lines, and Canada will prioritize the US over China if forced to choose.
- * Carney aims to increase exports to China by 50% by 2030, and relative US-China strategic stability gives him room to pursue that goal.
- * Discussions about manufacturing Chinese electric vehicles in Canada amount to contingency planning by Ottawa to protect auto sector jobs if the US follows through on threats to repatriate production, but the prospect of Chinese EV investment risks inflaming bipartisan opinion in Washington.
- * National security reviews will maintain a high bar for Chinese investment in strategic sectors and supply chains. Canadian agricultural and commodities exporters as well as financial services firms operating in China stand to benefit most from closer commercial ties.
- * Read more here . Reach out to discuss: canada@eurasiagroup.net .

Global Macro, Aerospace & Defense—NATO's summit mixes repackaged deals with real new commitments

- * This year's NATO summit produced a flurry of defense announcements, but several of the most prominent deals repackaged existing commitments or incremental progress on programs already underway.

- * Some of the projects that NATO allies presented included: Triton ISR drones (new), GlobalEye AWACS replacements (recent), A400M airlift (existing program), A330 MRTT tankers (existing program), and a \$40 billion Drone Edge counter-drone initiative (new).

- * European member states were eager to demonstrate their increased defense spending to the US, allowing President Donald Trump to claim a win for US firms in intelligence, surveillance, and reconnaissance, missiles, and munitions orders.

- * Equally important as the new orders, NATO's new industrial policy tools should reduce uncertainty for suppliers and channel private capital into capacity and critical inputs.

- * Read more here . Reach out to discuss: aerospacedefense@eurasiagroup.net .

China, Aerospace & Defense—China poised for gradual defense export gains as Western reliability erodes

- * China is likely to continue widening defense exports in the Gulf Cooperation Council, Southeast Asia, and parts of Africa, marketing capable, cost-effective systems in categories where Western restrictions or politics limit sales.

- * Structural constraints will keep China a niche challenger, as buyers continue to purchase strategic relationships, and Beijing still does not pair hardware with credible security guarantees.

- * Western prime contractors have an enduring advantage through the US security umbrella, so China will primarily threaten margins in lower-tier systems where Western approvals prove slow or politicized.

- * Read more here . Reach out to discuss: aerospacedefense@eurasiagroup.net .

China—Missile test was likely a long-planned deterrent signal

- * On 6 July, China launched a submarine-based ballistic missile with a dummy warhead into the South Pacific—the first of its kind in international waters.

- * The test was almost certainly planned well in advance and was designed to demonstrate that China can carry out a long-range submarine-based missile strike in the Pacific. But its specific timing was likely tied to the signing of the Australia-Fiji "Ocean of Peace" pact, which makes Fiji a formal treaty ally of Australia

- * Beijing could proceed with additional testing to demonstrate its capabilities. The test marks the first public indication that China can execute a complete end-to-end sea-based nuclear strike. Beijing could eventually follow up with an air-launched missile test.

* Read more here . Reach out to discuss: china@eurasiagroup.net .

Venezuela—Reconstruction financing needs accelerate external outreach

* On 8 July, interim President Delcy Rodriguez formally requested access to about \$4 billion in Venezuelan gold held at the Bank of England as part of a broader effort to unlock overseas assets and expand multilateral engagement to finance post-earthquake reconstruction.

* Rodriguez has also spoken with the IMF; Venezuela still has about \$4.5 billion in IMF special drawing rights that it has not used yet.

* The scale of the earthquakes—which left 3,800 dead and around 30,000 missing—will likely increase pressure to secure external financing and may accelerate engagement with multilateral institutions.

* Rising financing needs will also shape a forthcoming debt restructuring process; authorities have not yet provided an update on the pending debt sustainability analysis that will frame those talks, though the process will likely eventually involve the IMF.

* Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Upcoming conference calls

* 13 July 9:00 PM ET—Iran war & ceasefire outlook. Register here .

* 14 July 8:30 AM ET—EU energy outlook: Electricity costs will fall sharply by 2030. Register here .

* 15 July 10:00 AM ET—China's growing economic coercion toolkit. Register here .

* 21 July 9:00 PM ET—Claude Mythos: cyber power, competition & global risk. Register here .

eg in depth

Brazil—Russia's ban on diesel exports is a manageable supply shock for Brazil. On 8 July, Moscow announced a full ban on diesel exports through 31 July, after Ukrainian drone strikes. The ban compounds an already-tightening supply environment. However, Russia's share of Brazil's diesel imports had already been declining in the months prior. The ban's impact will likely be felt in the late-July to August window, when volumes that had still been flowing are cut off. A further escalation of the conflict in the Middle East poses a greater risk. Read more here . Reach out to discuss: brazil@eurasiagroup.net .

Upcoming events:

* 13 July: Data: OPEC Monthly Oil Market Report.

* 14 July: Events: Fed Chair Kevin Warsh testifies before the House Financial Services Committee. Data: China trade, US CPI.

* 15 July: Events: Fed Chair Kevin Warsh testifies before the Senate Banking Committee. Data: China GDP, retail sales, industrial production, fixed assets investment, Eurozone industrial production, US PPI. Central banks: Canada rate decision, Fed Beige Book.

* 16 July: Data: UK industrial production, trade balance, US retail sales. Central banks: South Korea rate decision.

* 17 July: Events: The World Artificial Intelligence Conference is held in Shanghai through 20 July. Data: Eurozone CPI, US housing starts, University of Michigan consumer sentiment, industrial production.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Joseph Craven, Martina Silva, Sol Lopes, and Trista Kelley, with help from Marina Tavares, and Astral Betteridge.

closing quip

A very big day in Palm Beach, Florida, where it was my Great Honor to have the Palm Beach International Airport be renamed, by a spectacular vote, The President Donald J. Trump International Airport,"—Trump said on Truth Social.

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Explanation of Political Trajectories (ie, "Trajectories")

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Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are

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